COMMERCIAL REAL ESTATE CREDIT MEMORANDUM

TriState Capital Bank | Cedar Grove Marketplace LLC | Refinance / Renewal Underwriting | September 2026

Request	Proposed Structure
Borrower	Cedar Grove Marketplace LLC
Sponsor / Guarantor	Redwood Creek Real Estate Holdings LLC
Requested Loan	$12,000,000
Purpose	Refinance existing mortgage; closing/reserves; limited sponsor capital return
Proposed Rate	7.25% fixed
Term / Amortization	5 years / 15 years
Collateral	First mortgage; assignment of leases and rents
Prior Appraisal	$20,400,000 as of 03/31/2025
LTV on Prior Appraisal	58.8%

Executive Credit View

The request is secured by a seasoned grocery-anchored neighborhood center with moderate leverage on the 2025 appraisal. However, current operating performance has weakened, the submitted package contains several reconciliation issues, and covenant headroom is effectively exhausted under the Bank's reading of the existing loan agreement. The refinance should not be approved solely on the borrower-submitted 1.34x DSCR certificate without resolution of the items below.

Key Credit Metrics

Metric	2023	2024	2025	TTM Aug-26
Occupancy	96.5%	94.8%	93.6%	92.12%
NOI	$2.024MM	$1.915MM	$1.744MM	$1.635MM
NOI Trend	-	-5.4%	-8.9%	-6.3% vs FY25
Borrower Certificate DSCR	-	-	-	1.34x
Bank Recalculated DSCR	-	-	-	1.244x

1. Property and Tenant Analysis

Cedar Grove Marketplace contains 96,400 SF, of which the current rent roll identifies 88,800 SF as occupied, yielding 92.12% physical occupancy. This conflicts with the loan request's statement that the center remains approximately 95% leased. The difference is not individually determinative but demonstrates that narrative and current operating records are not fully aligned.

FreshMart Market occupies 34,000 SF, approximately 35% of GLA, and is the center's principal traffic driver. The base lease states a December 31, 2033 expiration. A later Second Amendment dated June 30, 2024 grants the tenant a one-time right to terminate effective December 31, 2029 if notice is delivered by December 31, 2028 and the contractual termination payment is made. The current rent roll and 2025 appraisal do not reflect this economic exit right.

Family Dental Care is shown on the current rent roll as expiring December 31, 2028. The lease abstract based on the executed lease shows a contractual expiration of December 31, 2027 and states that no executed extension was located. The Bank should use the executed lease date until evidence of extension is provided.

2. Operating Performance

NOI has declined from $2.024MM in 2023 to $1.635MM TTM August 2026, a cumulative decline of approximately 19%. Occupancy has also declined. CAM reimbursements have softened, while taxes, insurance and other operating costs have increased. This is a gradual deterioration rather than an abrupt impairment, but it materially reduces debt-service cushion.

The TTM operating statement includes $85,000 of roof/HVAC work within repairs and maintenance. Borrower characterizes the item as non-recurring capital. The existing loan agreement allows exclusion of non-recurring/discretionary expenses only to the extent accepted by Lender after supporting evidence. No separate lender approval of the $85,000 add-back is contained in the submitted file.

3. Covenant Reconciliation

DSCR Reconciliation	Borrower	Bank Review
Reported TTM NOI	$1,635,000	$1,635,000
Roof/HVAC add-back	+$85,000	$0 pending approval
Pressed & Poured annualization	+$40,000	$0 for current test absent acceptance
Covenant NOI	$1,760,000	$1,635,000
Annual Debt Service	$1,315,000	$1,315,000
DSCR	1.338x / 1.34x	1.243x / 1.244x
Minimum	1.25x	1.25x
Conclusion	Borrower: COMPLIES	Potential shortfall; lender determination required

The Bank's current calculation is approximately 1.244x, slightly below the 1.25x requirement. This should be treated as a potential covenant exception pending review, not as an automatic assertion of default. If the Bank accepts enough of the $85,000 expense adjustment, compliance could be restored. The decision therefore turns on evidence and the loan definition, not on arithmetic alone.

4. Debt and Sponsor Review

The June 30 debt schedule reports a $11.205MM subject-property mortgage, which is reasonably reconcilable to the $11.120MM August 31 balance sheet amount through scheduled amortization and different reporting dates. This difference should not be escalated as an exception.

The SPE balance sheet also reports $550,000 due to Redwood Creek Real Estate Holdings LLC. The borrower/sponsor debt schedule omits this amount because management does not classify intercompany balances as funded third-party debt. The loan agreement, however, prohibits indebtedness other than Permitted Debt unless approved. The Bank should determine whether the affiliate advance was previously approved and subordinated; classification as 'intercompany' does not by itself establish that it is permitted.

5. Collateral and Appraisal Review

The March 31, 2025 appraisal concluded $20.4MM using $1.836MM stabilized NOI, 95% stabilized occupancy and a 9.0% cap rate. On the requested $12.0MM loan, the resulting LTV is 58.8%. The leverage appears moderate, but the appraisal predates the current TTM deterioration and did not model FreshMart's 2029 termination option.

The appraisal's small-shop market-rent assumption of up to approximately $38/SF should not be treated as contradicted by the later Pressed & Poured lease at $40/SF. The lease commenced after the appraisal's effective date and is a later market observation. Conversely, the current 92.12% occupancy is a real deterioration from the appraisal's 95% stabilized assumption and should be considered in current underwriting.

6. Exceptions Requiring Resolution

Priority	Issue	Required Follow-Up
HIGH	FreshMart 2029 termination option absent from rent roll/appraisal	Obtain tenant estoppel; model 2029 anchor downside and rollover
HIGH	Borrower DSCR 1.34x vs Bank 1.244x	Validate $85K add-back and $40K annualization under loan definition
HIGH	$550K affiliate debt omitted from debt schedule	Confirm approval, subordination and payment terms
MEDIUM	Family Dental expiration 2028 vs executed 2027	Obtain executed extension or correct rent roll
MEDIUM	Occupancy narrative ~95% vs current 92.12%	Use current rent roll; obtain leasing pipeline
MEDIUM	CAM recoveries below theoretical lease billings	Reconcile caps, exclusions, vacancy and collections

7. Proposed Credit Structure / Conditions

Subject to satisfactory resolution of the high-priority items, a refinance could be structured with protections reflecting the reduced cash-flow cushion and anchor-event risk. Proposed conditions for credit committee consideration include:

• Updated lender-reviewed valuation or appraisal update addressing current occupancy and the FreshMart termination option.

• FreshMart estoppel confirming lease status, amendments, termination right, defaults and rent paid through date.

• Evidence supporting the $85,000 roof/HVAC treatment; Bank to determine permitted covenant add-back.

• Written confirmation and subordination of the $550,000 sponsor advance, with no payments while a default or DSCR deficiency exists.

• Corrected Family Dental lease expiration or executed extension.

• Minimum closing DSCR of 1.25x using Bank-defined NOI; if not achieved, principal reduction and/or funded reserve sufficient to restore compliance.

• Enhanced quarterly operating statements and rent rolls until DSCR exceeds 1.30x for two consecutive quarters.

• Cash-management / reserve trigger upon FreshMart termination notice or material anchor default.

8. Analyst Conclusion

The property remains a potentially financeable asset because leverage is moderate and the tenant base retains meaningful diversity, but the file does not support a clean approval on the terms requested without further diligence. The most important issue is not any single document discrepancy; it is the combined effect of declining NOI, reduced occupancy, limited DSCR headroom, the anchor's earlier economic exit right, and uncertainty around covenant adjustments. Final approval should depend on resolution of the identified exceptions and refreshed collateral/tenant evidence.

Prepared by: _____
Commercial Credit Analyst
Reviewed by: _____
Senior Credit Officer
Date: _____

Internal credit memorandum. This synthetic document intentionally contains lender analysis that differs from borrower assertions in the demonstration file.